Fiscal 2026 Accounting Office Notification No. 1

March 27, 2026

To everyone in charge of the Group,

Unit Manager,

The Representatives of the Consolidated Companies,

(CC) Employees of the Consolidated Companies

Air Water Inc.

Yu Karato, Senior Managing Executive Officer, Head of Accounting and Finance

Toward Year-End Financial Closing for the Fiscal Year Ending March 2026

Regarding the recent inappropriate accounting case, we recognize that we have caused anxiety and concern, as well as a significant operational burden including investigations and audit responses. Management takes this matter with the utmost seriousness. We also sincerely thank you for your cooperation in submitting the recent semiannual report under a tight schedule.

Toward the fiscal year-end closing, and to ensure the reliability of financial reporting, we will thoroughly promote and ensure understanding of our Group's accounting policies, and require **self-inspections** in each company, including Air Water Inc., to confirm that financial reporting is conducted in alignment with these policies. The self-inspection is conducted for the purposes of "securing the reliability of financial reporting" and "supplementing internal control issues or deficiencies," and is an important measure for our Group to fulfill its accountability to stakeholders. Please fully recognize its significance. The affidavits requested from each company at the time of submission of the semiannual report were required by the accounting auditor due to observed inappropriate accounting treatments and obstructive acts, which raised doubts as to whether our Group was fulfilling its obligation to "prepare accurate accounting books in a timely manner." We have not yet dispelled these doubts, and the same submission will be required when receiving the audit report for the fiscal year ending March 2026. This self-inspection is intended to ensure the appropriateness of our Group's financial statements and constitutes the basis for the affidavits.

In the course of past investigations, obstructive acts (such as falsification and concealment) have been detected. We strongly request that such acts be strictly avoided during future self-inspections and audit responses. Acts regarded as obstruction include not only intentional falsification or concealment, but also submission of materials or statements inconsistent with the facts, even if not intended as obstruction. Please exercise utmost caution to ensure that your submitted materials and statements are not false.

In addition to the self-inspections, the scope of the accounting auditor's review for the third quarter and year-end is expected to be broader than in previous years. While this will impose additional burdens, a united Group-wide response is essential. We kindly ask all officers and employees to understand the purpose of this request and extend your cooperation.

1.Target Company

All consolidated companies

2. Implementation of Self-Inspection

In response to the discovery of various inappropriate matters , the Group will conduct self-inspections on the following items. The specific details will be provided through the distribution of a self-inspection checklist. In addition, the parent company will review the contents, and certain deliverables will be designated for placement in a specified folder.

No.	Self-inspection items	Related subjects	Corresponding issue item	Target Company
1	**Confirmation of Accounts Receivable Balance * (As of March 31; in principle, covering all accounts across the Group)** * Guidance on the procedures will be provided separately. This includes not only the collection of confirmation letters but also procedures such as reconciling and resolving differences between the ledger balance and the amount confirmed by the counterparty.	Accounts Receivable Sales	Recording sales without underlying substance (e.g., transactions without supporting documents, transactions through an unauthorized agent, circular transactions) Premature revenue recognition due to incomplete or partial acceptance, and delayed revenue recognition for completed projects.	All company
2	**Physical Inventory Count (As of March 31; in principle, covering all locations and all inventory items across the Group), etc.**	Inventories Sales	Overstatement or understatement of inventory, omission of inventory valuation loss, overstatement of sales from undelivered transactions (consignment sales) (P**rohibited in principle;** and to be determined by the parent company, not by individual entities).	All company
3	**Physical Verification of Fixed Assets (As of March 31; in principle, covering all entities and all assets across the Group)**	Fixed assets	Failure to record losses on disposal of fixed assets. Capitalization of expenditures that do not meet the criteria for recognition as assets.	All company
4	Review of Overdue Receivables	Sales	Recording sales without underlying substance, (e.g., recognition without supporting documentation, transactions conducted through an unauthorized agent, or circular	All company
5	Review of Negative Sales Entries / Sales Reversal Transactions			
6	Monthly Trend Analysis of Sales and Gross Profit			

			trading schemes.	
7	Revenue Recognition Questionnaire (Including submission of supporting documents)	Sales	Premature revenue recognition due to incomplete or partial acceptance, and delayed revenue recognition for completed projects.	All company
8	Review of Detailed sales records (Including submission of supporting documents).	Sales	Premature revenue recognition due to incomplete or partial acceptance, and delayed revenue recognition for completed projects.	All company
9	Application of accounting standards to revenue recognition for construction projects	Sales Cost of sales	Percentage-of-completion method, fraud in construction-in -progress (CIP)	Company separately designated by the parent company
10	Monthly trend analysis of construction project budgets			
11	Consistency analysis of construction project purchasing data and raw material inventory movements			
12	Monthly trend analysis of construction project progress rates			
13	Review of stagnant construction -in-progress(CIP)			
14	Explanation of factors for cost transfer transactions in construction projects and other projects subject to individual cost accounting	Cost of sales	Loss-making projects, Cost reallocation between departments or construction projects.	Company separately designated by the parent company
15	Monthly trend analysis of gross profit margin for construction projects and other projects subject to individual cost accounting			
16	Assessment of the appropriateness of pricing for internal/intercompany transactions	SG & A expenses	Cost reallocation between departments.	Company separately designated by the parent company
17	Explanation of factors for cost transfer transactions			
18	Monthly trend analysis of each	SG & A	Acceleration or deferral expense	All company

	expense	expenses	recognition; Deferral of expenses using advance payments, long-term prepaid expenses, or other asset accounts.	
19	Check for invoices that should be recorded as expenses in the current period			
20	Confirmation of non-recurring events			
21	Document the basis for recording estimated expenses (Including submission of supporting documents)			
22	Review of disposal transactions for fixed assets (Including submission of supporting documents)	Fixed assets	Omission of loss on disposal of fixed assets.	All company
23	Review of capitalized items based on repair costs and development-related expenditures (Including submission of supporting documents)	Fixed assets	Capitalization of expenditures without asset nature.	All company
24	Determine whether asset retirement obligations should be recognized based on evidence (Including submission of supporting documents).	Fixed assets	Omission of recording asset retirement obligations.	All company
25	Preparation and submission of impairment assessment materials	Fixed assets	Deferral or omission of impairment losses (Including goodwill)	All company
26	Basis materials for recording bonus provisions and comparison with payment amounts	Provision	Manipulation of timing for recording bonus provisions	All company
27	Self-inspection checklist	General	Preparation and review of a checklist to confirm the accuracy of the company's Financial Closing, including the above items	All company
28	Financial analysis	General	Comprehensive inspection of the appropriateness of each company's Financial Closing	All company

*Based on the results of the investigations so far, additional self-inspection items may be incorporated according to each company's risk profile.

3. Prospects and requests for audit

As the scope of the year-end audit by the accounting auditor is expected to expand significantly compared to previous years, we kindly request each company's cooperation in preparing materials and responding to the audit. With respect to the financial closing arrangements at each Group company, we ask that you ensure the necessary resources are secured on the assumption that the workload will be higher than in prior years, both in terms of volume and tighter timelines. Please note that the external experts organized as a support team are not requested as a substitute for resources in conducting self-inspections, but rather for consultation on self-inspection items and for advice on technical accounting judgments (such as preparation of position papers).

[Contact]

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